

economic activity,” the IMF economists said.

Back in India, UPI has spawned several other benefits to the broader financial ecosystem.

“Small merchants receiving money digitally has not only improved their cash flow cycle, but importantly, also improved their transactional data. Now banks and NBFCs can offer them working capital loans,” says Debiprasad Sarangi, the Co-founder and CEO of iServeU, a banking and financial infrastructure provider.

Sarangi states that movement of cash is inherently expensive and therefore the zero cost UPI model has fuelled the digital payment ecosystem. He believes the government should continue to incentivise smaller ticket UPI transactions. But at the same time, if there is an MDR on larger ticket transactions, the ecosystem will also start making money, whether it’s banks, aggregators or third-party application providers, he added.

Since 2021, India’s payments sector has seen \$5.8 billion in investments across 371 equity funding rounds, according to data from Tracxn, which it says is the private sector’s answer to the demand UPI created.

More than half of that funding went to consumer fintechs, well ahead of the business payments applications, which attracted 38% of the funding. Five companies—CRED, PhonePe, Pine Labs, Razorpay, and BharatPe—got two-thirds of the disclosed funding which, according to Tracxn, was a sign of capital concentrating around category leaders.

Notably, as the industry has matured, eight companies in the payments sector have gone public, including Paytm, Zaggie, MobiK-



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DHARMENDER JHAMB

PARTNER, GRANT THORNTON BHARAT

wik, and Pine Labs. There have been several acquisitions too.

Sonia Pankaj Asher, the executive chairperson of Paramotor Digital Technology, a Mumbai-based fintech focused on consumer spending, gifting, loyalty and rewards, also feels that given the huge infrastructure costs of UPI, MDR would make it viable for everyone.

“Whether it’s the merchant or the customer, most are now used to UPI. If costs are reasonable, then I think many will continue with UPI. Also, should revenue streams emerge, it will open many new use cases for UPI,” says Asher.

She feels a differential MDR could be implemented, just like in the case of credit and debit cards.

Typically, in the industry, since in debit card payments, money gets debited directly from the bank account, the MDR is lower at around 0.3-0.9%, compared with credit cards, where the MDR can range between 1-3%.

Perhaps, ultimately, given the need to continue to expand financial inclusion and formalisation of the economy, while also keeping in mind the sustainability of the broader ecosystem, a viable middle ground where there is a revenue generation, yet the burden is not significant, especially on the micro and small merchants, may be the answer to strong growth of the UPI ecosystem in future. **BT**

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